

Ramanuj Tripathi v. State of U.P. & Others

Allahabad High Court · Division Bench · 9 September 2014 · Writ - C No. 9267 of 2014 · **Writ petition allowed. The recovery citation dated 30 January 2014 for Rs. 95,852 and all consequential proceedings quashed: the provisional assessment notice dated 24 March 2011 was neither shown to have been served nor contained the ingredients (a date/time for hearing) required by Clause 6.8(1)(b), and no final assessment order under Section 126(3) had been passed. Respondents directed to prepare a fresh provisional assessment order, serve it, and make a reasoned final assessment after considering the petitioner's objection, in light of Ashok Kumar.**

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HEADNOTE

On a surprise inspection of 15 March 2011 the licensee found a residential connection being used unauthorisedly for commercial purposes and issued a provisional assessment notice dated 24 March 2011; a demand notice followed on 27 August 2011 and, while the consumer's representation remained pending, a recovery citation dated 30 January 2014 for Rs. 95,852 was issued. Allowing the writ, a Division Bench of the Allahabad High Court held the recovery unsustainable on two grounds. First, there was nothing on record to show that the provisional assessment notice was actually dispatched or served on the consumer, and the notice did not contain the ingredients required by Clause 6.8(1)(b) of the U.P. Electricity Supply Code, 2005 - it indicated no date or time for hearing - so the consumer was denied the opportunity of hearing mandatorily warranted by that clause and the notice was not in accordance with law. Second, no final assessment order under Section 126(3) of the Electricity Act, 2003 had been passed; even where no objection is filed, Section 126(3) requires the Executive Engineer to record that the provisional assessment order was served and then make a reasoned final assessment before any recovery certificate issues (following Vinod Kumar Agarwal and the Managing Director's compliance order of 30 June 2012). The recovery citation and consequential proceedings were quashed and the matter remitted for a fresh provisional assessment, service, and a reasoned final assessment in the light of Ashok Kumar.

FACTUAL SUMMARY

Ramanuj Tripathi, a domestic consumer of the U.P. Power Corporation/distribution licensee, challenged a recovery citation dated 30 January 2014 by which Rs. 95,852 was being realised towards consumption of electrical energy. The dues arose from a surprise inspection of his premises on 15 March 2011, at which it was found that he was unauthorisedly using electrical energy for commercial purposes although his connection was sanctioned for residential use only. The authorities issued a provisional assessment notice dated 24 March 2011 calling for a reply within fifteen days; the petitioner asserted that this notice was never served on him (a fact stated in Para 4 of his representation to respondent no.3), so that he could file no objection. A demand notice was issued on 27 August 2011, and the petitioner then sent an objection based on materials obtained under the Right to Information Act. While his representation dated 29 August 2012 remained pending, the impugned recovery citation was issued. The petitioner contended that recovery had been pressed on the provisional assessment without any final assessment order, relying on Vinod Kumar Agarwal v. State of U.P. (decided 10 July 2012) and the Managing Director, UPPCL's compliance order dated 30 June 2012; the licensee replied that the provisional assessment notice had been served and, no objection having been filed, it stood as a final assessment under Section 126(3). Interim protection against recovery had operated during the pendency of the petition.

REUSABLE CONSTRUCTIONS

1. A recovery citation for electricity dues cannot be issued or sustained on the strength of a provisional assessment alone; a final assessment order under Section 126(3) of the Electricity Act, 2003 is mandatory, and even where no objection is filed the assessing officer must first record satisfaction that the provisional assessment order was served and then make a final assessment by a reasoned order. ¶ 6, 8
2. A provisional assessment notice under the unauthorised-use/theft regime must contain the ingredients required by Clause 6.8(1)(b) of the U.P. Electricity Supply Code, 2005 - including a date and time for hearing; a notice indicating no date or time for hearing is not in accordance with law and denies the consumer the mandatory opportunity of hearing. ¶ 6, 8
3. The burden of showing that the provisional assessment notice was actually dispatched and served lies on the department; where there is nothing on record to show service, the assessment and the consequential recovery cannot

be sustained. ¶ 6

4. Where a recovery is quashed for want of a validly served provisional assessment and opportunity of hearing, the appropriate order is to quash the recovery citation and consequential proceedings and remit the matter for a fresh provisional assessment order, service, and a reasoned final assessment after considering the consumer's objection (following Ashok Kumar). ¶ 9

HOLDING-UNITS

HOLDING-UNIT · EA2003::126

RATIO

No recovery citation without a final assessment order under Section 126(3); satisfaction of service must be recorded even absent objection

QUESTION

Whether a recovery citation can be issued and sustained pursuant to a provisional assessment without any final assessment order under Section 126(3) of the Electricity Act, 2003?

HOLDING

No. A recovery citation resting on the provisional assessment, with no final assessment order, cannot be sustained. Even if no objection is filed, sub-section (3) of Section 126 requires the Executive Engineer to record a finding that the provisional assessment order was served upon the consumer and thereafter make a final assessment by a reasoned order. No such final assessment order - containing the authority's satisfaction about service of the provisional assessment notice - having been passed, the impugned recovery proceeding cannot be sustained and is set aside. ¶ 4, 8

EVIDENCE “no order of final assessment has been passed containing satisfaction of the authority about service of provisional assessment notice as is required in law, therefore, the impugned recovery proceeding cannot be sustained and is liable to be set-aside” ¶ 8

EVIDENCE “not to issue any recovery certificate until and unless a final assessment is made in theft case, after giving opportunity to the consumers under Section 126 (1) of the Act” ¶ 4

FLAG Judgment carries numbered paragraphs (1-9); pins are paragraph numbers. The Section 126(3) directions are drawn from Vinod Kumar Agarwal and the Managing Director, UPPCL's order dated 30.6.2012, reproduced at para 4 and adopted by the Court.

HOLDING-UNIT · UP-2005::6.8(b)

RATIO

Provisional assessment notice must contain the Clause 6.8(1)(b) ingredients (date/time for hearing) and be served; absence denies the mandatory hearing and vitiates the assessment

QUESTION

Whether a provisional assessment notice that is not shown to have been served and does not contain the ingredients required by Clause 6.8(1)(b) of the Supply Code, 2005 (a date and time for hearing) can sustain the assessment and the recovery?

HOLDING

No. There was nothing on record to show that the provisional assessment notice dated 24 March 2011 was actually dispatched or served on the petitioner, and the notice did not contain the necessary ingredients required under Clause 6.8(1)(b) of the Supply Code, 2005, as it indicated no date or time for hearing. The petitioner was thereby denied the opportunity of hearing mandatorily warranted under Clause 6.8(1)(b), so the notice was not in accordance with the requirement of law and the recovery cannot be sustained. ¶ 6, 8

EVIDENCE “there is nothing on record to show that the provisional assessment notice dated 24th of March, 2011 was actually dispatched or served upon the petitioner” ¶ 6

EVIDENCE “provisional assessment notice issued does not contain necessary ingredients required under Clause 6.8 (1)(b) of the U.P. Electricity Supply Code, 2005 inasmuch as from the perusal of the provisional assessment notice, it does not appear that any date or time was indicated in the notice for hearing in the matter” ¶ 6

EVIDENCE “As the petitioner has not been afforded opportunity of hearing in the matter as is mandatorily warranted under Clause 6.8 (1)(b) of the U.P. Electricity Supply Code, 2005” ¶ 8

final-s126-assessment-mandatory-precondition-to-recovery-citation

A recovery citation for electricity dues cannot issue on a

provisional assessment; a final assessment order under Section 126(3) - recording service and made by a reasoned order even where no objection is filed - is a mandatory precondition to recovery. Lead authorities: *Vinod Kumar Agarwal v. State of U.P. & Others*. ¶ 4, 8

proper-service-of-provisional-assessment-notice-clause-6.8

The department must show that the provisional assessment notice under Clause 6.8 was actually dispatched and served; absent anything on record showing service, the assessment and the consequential recovery fall. ¶ 6

clause-6.8-hearing-procedure-mandatory-before-uee-conclusion

A provisional assessment notice must state a date and time for hearing as required by Clause 6.8(1)(b); a notice omitting these ingredients denies the mandatory opportunity of hearing and is not in accordance with law. Lead authorities: *Ashok Kumar & Ors. v. State of U.P. & Ors.* [SCJ-158]. ¶ 6, 8

NOT DECIDED — NEGATIVE AUTHORITY**NOT DECIDED — WHETHER THE PETITIONER WAS IN FACT UNAUTHORISEDLY USING ELECTRICAL ENERGY FOR COMMERCIAL PURPOSES ON A RESIDENTIAL CONNECTION (THE SURPRISE INSPECTION OF 15 MARCH 2011)**

Not decided; remitted for a fresh provisional assessment, service, and a reasoned final assessment after considering the petitioner's objection, in the light of *Ashok Kumar*. [SCJ-158] ¶ 9

RELATED CASES — SEE ALSO

SCJ-1227 — Theft citation quashed for want of the Clause 6.8(b) opportunity of hearing - the same defect vitiating the provisional assessment.

SCJ-1226 — Unserved theft provisional assessment: recovery quashed for want of service of the provisional assessment notice under Clause 6.8(b).

SCJ-158 — *Ashok Kumar* - the Division Bench authority on the Supply Code, 2005 assessment procedure in theft/unauthorised-use cases, expressly followed in the remittal direction here.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Vinod Kumar Agarwal v. State of U.P. & Others</i> Writ-C No. 24772 of 2012, decided 10 July 2012 Allahabad High Court	No recovery certificate is to be issued until a final assessment is made under Section 126; even absent objection, Section 126(3) requires the Executive Engineer to record service of the provisional assessment order and make a reasoned final assessment, and the Managing Director, UPPCL was directed (order dated 30.6.2012) to withdraw recoveries issued without final assessment.	Reproduced at para 4 and relied on for the mandatory-final-assessment-before-recovery rule. ¶ 4	Petitioner	Relied on
<i>Ashok Kumar & Ors. v. State of U.P. & Ors.</i> 2008(6) ADJ 660 (DB) [2008 SCC OnLine All 696] [SCJ-158] Allahabad High Court	The provisions of the U.P. Electricity Supply Code, 2005 to be followed in a case of theft of electricity for assessment (paras 56 to 64).	Followed; the fresh final assessment was directed to be made in the light of the observations in <i>Ashok Kumar</i> . ¶ 7, 9	Court	Followed

SCJ-1982 · *Ramanuj Tripathi v. State of U.P. & Others* · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.